

AGM Compliance Remediation Priorities

A risk-ranked implementation plan based on the BVIFSC Revised Sanctions Guidelines, current BVI supervisory priorities, and AGM's AML, sanctions, and risk-based approach manuals.

EXECUTIVE DECISION

If AGM cannot remediate all 17 findings at once, the most defensible approach is to implement Priorities 1-6 first as one minimum credible compliance phase. These controls detect prohibited or suspicious activity, identify the parties actually behind an account, enforce enhanced due diligence, and support time-sensitive reporting.

Prioritization is a sequencing decision, not a conclusion that lower-ranked manual obligations are optional. Lower-ranked work may be deferred through an approved, documented plan with owners, target dates, interim controls, and risk acceptance by the appropriate AGM authority.

MINIMUM CREDIBLE PHASE

- Priorities 1 and 2 should be designed together: monitoring creates the alert; the restricted investigation process decides and records the response.
- Priorities 3 through 6 establish who is in scope, whether sanctions or PEP/EDD requirements apply, and whether customer information remains current.
- A polished regulatory-file page does not compensate for missing underlying investigations, ownership data, or CDD decisions.

Phase 1 - Critical regulatory controls

1. Suspicious-activity investigation and SAR/STR filing

EXISTING FINDING #12 | DIRECT REPORTING AND DEADLINE EXPOSURE

Implement a restricted investigation register, date suspicion arose, investigator and decision maker, file/do-not-file decision, deadlines, anti-tipping-off controls, FIA/CRF references, acknowledgments, and retained evidence.

2. Recurring and persistent transaction monitoring

EXISTING FINDING #5 | DETECTION LAYER FOR SUSPICIOUS ACTIVITY

Run approved rules on a documented schedule over a reconciled transaction population; persist alerts, rule versions, observed values, dispositions, escalation, and closure. Build this with Priority 1.

3. Corporate ownership and required-party coverage

EXISTING FINDING #10 | SANCTIONS CAN APPLY THROUGH OWNERSHIP OR CONTROL

Maintain direct and indirect owners, voting rights, controllers, directors, signatories, effective dates, evidence, and complete KYC/screening coverage. Resolve the conflicting ownership thresholds in the manuals.

4. Sanctions-screening coverage and mandatory match response

EXISTING FINDING #2 | IMMEDIATE FREEZE AND REPORTING OBLIGATIONS

Keep delta-based screening, but prove coverage of new and changed parties. Unresolved matches must block activity. Where knowledge or reasonable suspicion exists, freeze, stop transactions, report promptly, and retain true/false-positive investigation evidence for at least five years.

5. PEP/RCA identification, EDD, and senior approval

EXISTING FINDING #11 | MANDATORY ENHANCED CONTROLS FOR HIGHER-RISK RELATIONSHIPS

Use approved sources, create reviewable PEP/RCA candidates, complete a controlled EDD checklist, retain senior approval, block incomplete cases, and set enhanced review frequency.

6. Periodic and event-driven CDD reassessment

EXISTING FINDING #14 | CUSTOMER INFORMATION AND RISK MUST REMAIN CURRENT

Store last and next review dates, risk-based frequency, review scope, trigger, status, reviewer, conclusion, updated risk, and overdue escalation. Material ownership, identity, activity, document, jurisdiction, or IBKR changes should trigger review.

Phase 2 - Foundational compliance controls

7. Align the AML risk-calculation model

Existing Finding #1

One approved formula, thresholds, EDD consequences, version, inputs, scores, rationale, and controlled overrides.

8. Institutional Risk Assessment and Board approval

Existing Finding #16

Annual business-level ML/TF/PF and sanctions assessment with data sources, Board approval, effective version, actions, and material-change updates.

9. Source-of-Funds and third-party funding verification

Existing Finding #13

Risk-based verification of payer, originating institution, ownership, purpose, evidence, approval, and escalation for material or unusual funding.

10. Complete and current IBKR compliance data

Existing Finding #8

Refresh every in-scope account, reconcile expected/successful/failed populations, retain timestamps and checksum, and prevent partial runs from replacing the last complete snapshot.

11. Authoritative compliance-readiness decision before IBKR submission

Existing Finding #3

Keep internal intake, but require one explicit decision that CDD, ownership, screening, EDD, documents, and blocking cases are complete.

Recommended Phase 2 outcome

AGM should be able to reproduce the risk decision for each customer, show the business-level risk basis for its controls, verify material funding, rely on current IBKR information, and produce one authoritative readiness decision before external onboarding.

Phase 3 - Governance and professionalization

12. AML and sanctions training

Existing Finding #15

Initial and annual role-based training, assessments, retained records, overdue reconciliation, and restriction of duties for untrained personnel.

13. Connected compliance evidence history

Existing Finding #9

Append-only events linking screening, monitoring, investigations, approvals, filings, outreach, exports, and external results.

14. Annual compliance reporting and breach-register governance

Existing Finding #17

Controlled breach severity, reporting decisions, remediation, closure, annual Board/regulatory reporting, versions, and acknowledgments.

15. IBKR submission traceability

Existing Finding #4

Reviewer, evidence reviewed, application version, rationale, request correlation, and IBKR result.

16. Accounts Audit validity and review certification

Existing Finding #6

Document validity, acceptance, currentness, mismatch review, population, exceptions, reviewer, and completed audit-run evidence.

17. Regulatory-file presentation and export integrity

Existing Finding #7

Correct endpoints and explicit clean/unavailable/failed/stale states after the underlying compliance records are trustworthy.

BVI basis for the ranking

- BVIFSC Revised Sanctions Guidelines, pages 27-29: sanctions extend to entities owned or controlled directly or indirectly by designated persons, and changes in minority interests require ongoing monitoring.
- Pages 30-35 and 37: relevant firms must maintain reporting mechanisms and report designated-person knowledge or suspicion and suspicious activities to the appropriate BVI authorities.
- Pages 38-40: screening should cover customers, beneficial owners, and directors; ongoing list monitoring is expected; knowledge or reasonable suspicion requires immediate freezing, cessation of transactions, prompt reporting, and retained match records.
- Pages 48-49: failure to report, perform CDD, retain records, or maintain effective internal controls may result in criminal or administrative penalties.
- Page 55: false positives require thorough investigation, and unresolved identity questions should be referred to the FIA.

Primary source

British Virgin Islands Financial Services Commission, Virgin Islands Financial Sanctions Guidelines, revised 31 December 2024. Local reviewed copy: /Users/aguilarcarboni/Downloads/BVIFSC 31.12.2024_-_revised_sanctions_guidelines-_final.pdf

Implementation note

This document is an operational prioritization assessment, not legal advice. AGM's AML Compliance Officer and BVI counsel should confirm the final scope, statutory interpretation, reporting allocation with IBKR, and any temporary risk acceptance.